



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

8th Floor, Chater House, 8 Connaught Road Central, Hong Kong

香港中環干諾道中八號遮打大廈八樓

30 December 2005

To: Fund Managers of SFC Authorised Funds, Legal Advisors, Fund Auditors and Other Relevant Parties

From: Investment Products Department, Securities and Futures Commission

Dear Sirs

Investment Products Department – Streamlining of Authorisation Process

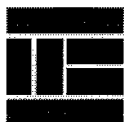
Chinese translation confirmations

Collective investment schemes (CIS) authorised by the SFC pursuant to the Code on Unit Trusts and Mutual Funds (Code) are generally required to issue offering documents and notices to their holders in both English and Chinese languages. Such documents have to be authorised by the SFC prior to distribution to the public.

In the course of our work, it has come to our attention that where applications for authorisation of Chinese offering documents and notices (collectively, “Chinese documents and notices”) were made and such applications were accompanied by the submission of Chinese translation certificates, the accuracy of the documents was improved and the authorisation process had been expedited. As a result, management companies have had more time to plan the marketing of their products.

In light of the above, in order to expedite the processing of applications for authorisation of Chinese documents and to facilitate better deployment of the SFC’s resources, we will formally adopt the policy of requiring all applications for authorisation of Chinese documents and notices, and amendments thereof, to be accompanied by a confirmation regarding the accuracy of the Chinese translation. Such confirmation may be issued by any of the following parties:

- (a) a qualified lawyer in Hong Kong;
- (b) the board of directors of the CIS;
- (c) the board of directors of the CIS’ management company;
- (d) the head of the legal department or the compliance officer-in-charge of the management company or its Hong Kong representative who has overall responsibility for the compliance of the subject application; or
- (e) such other person acceptable to the SFC.



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The person providing the confirmation must be fully conversant in the Chinese language or certify that an individual who is fully conversant in the Chinese language and competent to review and ensure the accuracy of the relevant Chinese documents and notices has been appointed to do so. Applicants are reminded that the directors of the CIS or the management company are required to accept responsibility for the information contained in the offering document as being accurate at the date of publication, regardless of the language of publication.

For the avoidance of doubt, this requirement for translation certificates does not apply to marketing materials, which may be issued in either English or Chinese language, or both, at the discretion of the management company.

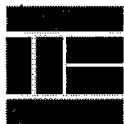
Notice to CIS holders

Pursuant to Chapter 11 of the Code, notices are required to be issued to CIS holders to inform them of changes to the offering or constitutive documents of the relevant scheme, fee increases, de-authorisation, merger or liquidation. We have received feedback from the fund industry that while notices would inevitably be issued to CIS holders to keep them informed of matters pertaining to a scheme, the communication process with CIS holders could be enhanced and made on a more timely basis if notices pertaining to routine operational and administrative matters of a scheme could be transmitted to CIS holders upon the management company having satisfied itself that the information therein is accurate and in compliance with the relevant Code provisions and consistent with the offering and constitutive documents.

Having considered the suggestion from the fund industry, we are pleased to inform you that where notices only involve the routine operational and administrative aspects of a scheme, such notices do not require prior approval by the SFC. However, you are required to file an issued copy of the notice (both English and Chinese) with the SFC for our record as soon as practicable after despatch.

By way of example, the following notices do not require prior approval by the SFC:

- (a) Notices regarding an annual general meeting (with no special business proposed);
- (b) Dividend announcements;
- (c) Cover letters to annual reports and semi-annual reports;
- (d) Announcement of details pertaining to a guaranteed fund, such as the final participation rate, the final maturity date or basket of shares that the fund is linked to;



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- (e) Maturity reminders for guaranteed funds, which do not contain provisions for switching into other funds;
- (f) Notices of adjournment of extraordinary meeting, provided that proposed matters to be discussed at the adjourned EGM are substantially similar to those set out in the original EGM notice authorised by the SFC; and
- (g) Notices of change in contact details (except where the change involves an amendment to the offering or constitutive documents).

The above list is not meant to be exhaustive, but the guiding principle is that insofar as those notices relate to routine operational or administrative matters of a scheme (which do not fall within the provisions in Chapter 11.1 to 11.5 of the Code), such notices (both English and Chinese versions) are only required to be filed with the SFC, and no prior approval is required.

If you are in doubt, please enquire with your case officer. However, you are reminded to ensure compliance with the relevant provisions in the Code, clarity and accuracy of the information contained in the notices, as well as consistency with the offering and constitutive documents.

Implementation timetable

All of the above measures will take effect from 1 February 2006.

If you wish to clarify any aspects of this letter, please contact the team supervisor or case officer of the Investment Products Department who is responsible in overseeing your fund group or your client's CIS.

Yours faithfully,

A handwritten signature in black ink, appearing to read 'Christina Choi', written over a circular stamp.

Christina Choi

Director

Investment Products

Securities and Futures Commission